

TERMS AND CONDITIONS OF SALE

Castmen Electronics, LLC

1. ACCEPTANCE OF ORDERS

All quotations are valid for thirty (30) days unless otherwise stated. No order shall be binding upon Seller until accepted by Seller in writing or by commencement of performance.

Seller reserves the right to reject any order at its sole discretion.

2. BUILD-TO-PRINT MANUFACTURING

Seller manufactures products strictly in accordance with drawings, specifications, bills of materials, and other technical requirements provided or approved by Buyer.

Buyer is solely responsible for:

- Design adequacy
- Drawing accuracy
- Specification accuracy
- Material selection
- Product fitness for intended use

Seller assumes no design responsibility unless expressly agreed to in writing.

3. ENGINEERING CHANGES

Any engineering change, drawing revision, specification revision, process change, schedule change, or quantity change requested after order acceptance may result in:

- Additional charges
- Revised lead times
- Cancellation charges
- Material restocking fees

Seller shall notify Buyer of applicable impacts before implementation.

4. CUSTOMER-FURNISHED MATERIAL

If Buyer provides material, components, tooling, test fixtures, drawings, software, or intellectual property:

- Buyer warrants such items are suitable for their intended purpose.
- Seller is not responsible for defects caused by customer-furnished items.
- Seller shall not be liable for shortages, delays, or nonconformities attributable to customer-furnished items.

5. PRICING

Quoted prices are based upon:

- Quantities quoted
- Current material costs
- Current labor rates
- Current supplier pricing

Seller reserves the right to adjust pricing for:

- Tariffs
- Extraordinary material cost increases
- Customer-requested changes
- Force majeure events affecting costs

6. PAYMENT TERMS

Payment shall be made in U.S. Dollars.

Credit terms are subject to Seller's prior approval and may be modified or withdrawn at any time based upon Buyer's creditworthiness or payment history.

Seller may suspend performance, withhold shipments, cancel open orders, or require advance payment on any order if Buyer's account becomes delinquent.

Buyer shall be responsible for all costs incurred by Seller in collecting past-due amounts, including but not limited to collection agency fees, court costs, arbitration costs, expert witness fees, and reasonable attorneys' fees incurred before litigation, during litigation, on appeal, in bankruptcy proceedings, or in connection with any other legal action undertaken by Seller to collect amounts owed by Buyer or enforce Seller's rights under this Agreement.

In the event Seller prevails in any legal action, arbitration, collection proceeding, or other enforcement action arising from Buyer's failure to make timely payment, Buyer shall reimburse Seller for all associated costs and expenses to the fullest extent permitted by law.

7. DELIVERY

Quoted lead times are estimates only.

Seller shall not be liable for delays caused by:

- Material shortages
- Supplier delays
- Transportation disruptions
- Labor shortages
- Government actions
- Force majeure events

Partial shipments are permitted unless otherwise agreed in writing.

8. INSPECTION AND ACCEPTANCE

Buyer shall inspect products within thirty (30) days of receipt.

Products shall be deemed accepted unless Seller receives written notice of nonconformance within thirty (30) days after delivery.

No product may be returned without prior written authorization and issuance of an RMA number.

9. WARRANTY

Seller warrants that products manufactured by Seller shall conform to the applicable drawing revision and specifications identified on the purchase order and shall be free from defects in workmanship for a period of one (1) year from shipment.

Seller's sole obligation shall be, at Seller's option:

- Repair;
- Replacement;
- Rework, or
- Credit of the purchase price of the nonconforming product.

This warranty does not apply to:

- Customer design defects
- Customer-supplied materials
- Improper installation
- Abuse
- Misuse
- Unauthorized modification

10. DISCLAIMER OF WARRANTIES

EXCEPT AS EXPRESSLY PROVIDED HEREIN, SELLER DISCLAIMS ALL WARRANTIES, EXPRESS OR IMPLIED, INCLUDING WARRANTIES OF MERCHANTABILITY, FITNESS FOR A PARTICULAR PURPOSE, AND NON-INFRINGEMENT.

11. LIMITATION OF LIABILITY

UNDER NO CIRCUMSTANCES SHALL SELLER BE LIABLE FOR:

- LOST PROFITS
- LOSS OF REVENUE
- LOSS OF USE
- REWORK COSTS
- RECALL COSTS
- BUSINESS INTERRUPTION
- SPECIAL DAMAGES
- INCIDENTAL DAMAGES
- CONSEQUENTIAL DAMAGES

SELLER'S TOTAL LIABILITY SHALL NOT EXCEED THE PURCHASE PRICE OF THE SPECIFIC PRODUCT GIVING RISE TO THE CLAIM.

12. TOOLING, FIXTURES, AND NRE

Unless otherwise agreed in writing:

- Tooling charges are non-refundable.
- Engineering charges are non-refundable.
- Test fixture charges are non-refundable.

Seller retains ownership of Seller-funded tooling.

Customer-funded tooling ownership shall be determined by written agreement.

13. INTELLECTUAL PROPERTY

All drawings, procedures, manufacturing methods, work instructions, process documentation, and know-how developed by Seller remain the property of Seller unless otherwise agreed in writing.

Buyer retains ownership of Buyer-supplied intellectual property.

14. SECURITY INTEREST

Until all invoices are paid in full, Seller shall retain a purchase money security interest in all products supplied under this Agreement and their proceeds.

Buyer agrees to execute any documents reasonably required to perfect such security interest.

15. COLLECTION COSTS

Buyer shall reimburse Seller for all reasonable costs incurred in collecting overdue amounts, including:

- Attorney fees
- Court costs
- Collection agency fees

to the extent permitted by law.

16. FORCE MAJEURE

Seller shall not be liable for delays or failures caused by events beyond Seller's reasonable control, including but not limited to:

- Natural disasters
- Labor disputes
- Epidemics
- Government actions
- Material shortages
- Supplier failures
- Transportation interruptions

17. GOVERNING LAW

This Agreement shall be governed by the laws of the State of New York without regard to conflict of law principles.

Any action arising under this Agreement shall be brought exclusively in the state or federal courts located in New York.

18. FIRST ARTICLE INSPECTION (FAI)

Where required by Buyer, First Article Inspection shall be performed in accordance with the requirements identified on the purchase order.

Unless otherwise stated, FAI charges shall be quoted separately.

Changes to drawings, specifications, materials, manufacturing methods, tooling, or suppliers may require a partial or full First Article Inspection at Buyer's expense.

Seller shall not be responsible for delays resulting from Buyer's review or approval of First Article documentation.

19. CUSTOMER-DIRECTED SOURCES

Where Buyer requires Seller to purchase materials, components, processes, testing, plating, marking, packaging, or other services from a specified source:

- Seller assumes no responsibility for the quality, availability, performance, cost, delivery, or suitability of such sources.
- Any delays, shortages, nonconformances, or cost increases attributable to customer-directed sources shall entitle Seller to an equitable adjustment in price and delivery schedule.
- Seller's warranty shall not extend to defects caused by customer-directed sources.

20. CUSTOMER-FURNISHED PROPERTY

Buyer shall retain ownership of all customer-furnished property, including:

- Tooling
- Test fixtures
- Drawings
- Specifications
- Equipment
- Materials
- Software
- Intellectual property

Seller shall exercise reasonable care in safeguarding such property but shall not be liable for normal wear and tear, deterioration, obsolescence, or damage resulting from circumstances beyond Seller's reasonable control.

Unless otherwise agreed in writing, customer property left inactive for more than twenty-four (24) months may be returned, disposed of, or otherwise handled at Seller's discretion.

21. EXCESS, OBSOLETE, AND NON-CANCELABLE MATERIAL

Upon acceptance of Buyer's order, Seller may procure raw materials, components, tooling, and services necessary to fulfill the order.

In the event of:

- Order cancellation
- Quantity reduction
- Schedule postponement
- Product discontinuance

Buyer shall purchase and pay for:

- Work in process
- Finished goods
- Non-cancelable materials
- Non-returnable materials
- Special tooling
- Engineering work performed
- Supplier cancellation charges

22. OBSOLESCENCE AND COMPONENT AVAILABILITY

Seller shall not be responsible for delays or inability to manufacture products caused by:

- Component obsolescence
- Allocation
- Supply chain shortages
- Manufacturer discontinuance

Seller may propose alternative components or materials for Buyer's approval.

Any resulting engineering, qualification, validation, or testing costs shall be borne by Buyer.

23. TESTING AND ACCEPTANCE CRITERIA

Unless otherwise specified on the drawing, specification, or purchase order:

- Seller shall perform standard workmanship inspections IAW IPC/WHMA-A-620 and IPC-J-STD-001.
- Electrical testing shall be performed in accordance with Seller's documented procedures.
- Products shall be considered conforming if they satisfy the applicable drawing revision, specification requirements, and acceptance criteria identified at the time of manufacture.

Special testing requirements, including but not limited to:

- Environmental Stress Screening (ESS)
- Thermal Shock
- Vibration

- Pull Testing
- Hi-Pot Testing
- Insulation Resistance Testing
- Continuity Testing
- First Article Inspection

must be specifically identified on the purchase order or drawing and may result in additional charges.

24. QUALITY MANAGEMENT SYSTEM

Seller maintains a quality management system intended to comply with applicable quality standards, including AS9100 where applicable.

Seller reserves the right to modify internal procedures, processes, inspection methods, and manufacturing controls provided such changes do not affect product conformity.

Nothing herein shall be interpreted as creating warranties beyond those expressly stated in this Agreement.

25. RIGHT OF ACCESS

Where required by contract, regulatory requirement, or applicable quality standard, Seller shall provide reasonable access to:

- Buyer
- Buyer's customer
- Regulatory authorities

for purposes of product verification, quality audits, and records review.

Such access shall be coordinated in advance and conducted during normal business hours.

Confidential, proprietary, export-controlled, or unrelated information may be restricted.

26. RECORD RETENTION

Quality records, inspection records, test records, certifications, and manufacturing documentation shall be retained in accordance with Seller's record retention policies unless otherwise required by written agreement.

Requests for extended retention periods may result in additional charges.

27. EXPORT CONTROL COMPLIANCE

Buyer shall comply with all applicable United States export control laws and regulations, including but not limited to:

- Export Administration Regulations (EAR)
- International Traffic in Arms Regulations (ITAR)

Buyer shall not export, re-export, transfer, or disclose products, technical data, software, or documentation in violation of applicable law.

Where export-controlled information is provided to Seller, Buyer shall clearly identify such information.

28. GOVERNMENT CONTRACT FLOW-DOWNS

Where products are supplied in support of a government contract, Seller shall only be bound by government contract requirements that:

- Are specifically identified in writing;
- Are applicable to the products supplied; and
- Have been accepted by Seller in writing.

No government contract clause shall apply by implication.

29. COUNTERFEIT PART PREVENTION

Seller shall maintain reasonable controls intended to prevent the introduction of counterfeit or suspect counterfeit components into products supplied to Buyer.

Unless otherwise agreed in writing, Seller's obligation shall be limited to procurement through authorized manufacturers, authorized distributors, or other approved sources.

Seller shall not be liable for counterfeit parts introduced through customer-furnished materials or customer-directed sources.

30. CYBERSECURITY AND CONFIDENTIALITY

Each party shall protect confidential information received from the other party using at least the same degree of care used to protect its own confidential information.

Neither party shall disclose confidential information to third parties except as required for contract performance or by law.

Seller does not warrant compliance with any specific cybersecurity framework unless expressly agreed in writing.

31. LIMITATION OF LIABILITY FOR AEROSPACE, DEFENSE, AND MISSION-CRITICAL APPLICATIONS

For products used in aerospace, defense, transportation, industrial automation, energy, or other mission-critical applications:

Seller's aggregate liability shall remain limited to the purchase price of the affected products.

Under no circumstances shall Seller be responsible for:

- Aircraft grounding
- Mission delays
- Launch delays
- Recall costs
- Field service costs
- Corrective action costs

- Production downtime
- Customer requalification expenses
- Third-party claims

arising from the use or failure of products supplied by Seller.

32. ENTIRE AGREEMENT

These Terms and Conditions, together with Seller's quotation, order acknowledgment, and invoice, constitute the entire agreement between the parties and supersede all prior communications.

Conflicting terms contained in Buyer's purchase order are expressly rejected unless accepted by Seller in writing.